

Chapter – 2 Books of prime entry

Theoretical MCQs for practice

1. The Sales Day Book is primarily used to record:
 - a) All sales of goods for cash
 - b) All sales returns from customers
 - c) All credit sales of goods**
 - d) All transactions with customers
2. Which of the following source documents is used for recording entries in the Sales Return Day Book?
 - a) Debit notes issued
 - b) Credit notes issued**
 - c) Sales invoices issued
 - d) Purchase invoices received
3. Purchases Day Book records:
 - a) Credit purchases of goods**
 - b) Cash purchases of non-current assets
 - c) Credit purchases of non-current assets
 - d) All payments to suppliers
4. A supplier sent an invoice of Rs. 50,000 for inventory purchased on credit. In which book of prime entry should this be recorded?
 - a) Purchases Day Book**
 - b) General Journal
 - c) Cash Book
 - d) Purchases Return Day Book
5. Ali & Co. returned goods worth Rs. 10,000 to its supplier. The transaction will be recorded in:
 - a) Purchases Day Book using invoice
 - b) Purchases Return Day Book using credit note received**
 - c) Sales Return Day Book using debit note
 - d) General Journal using invoice
6. If a non-current asset (e.g., machinery) is bought on credit, it will be entered in:
 - a) Purchases Day Book
 - b) General Journal**
 - c) Cash Book
 - d) Purchases Return Day Book
7. Which of the following is **not** an example of a source document for the Cash Book?
 - a) Cheques
 - b) Payment vouchers

- c) **Sales invoices**
 - d) Bank statements
8. The General Journal is also called:
- a) Sales Ledger
 - b) **Journal Proper**
 - c) Purchases Journal
 - d) Prime Cash Journal
9. Which of the following transactions will most likely appear in the General Journal?
- a) Credit sale of goods
 - b) Cash received from customer
 - c) Credit purchase of goods
 - d) **Correction of an error**
10. Books of prime entry are also called:
- a) Subsidiary ledgers
 - b) Books of adjustment
 - c) **Books of original entry**
 - d) Control accounts
11. A business paid Rs. 25,000 for monthly rent via bank transfer. The source document and book of entry will be:
- a) Invoice – Purchases Day Book
 - b) **Bank statement – Cash Book**
 - c) Credit note – Purchases Return Day Book
 - d) Journal voucher – General Journal
12. A customer returned goods worth Rs. 5,000 which were originally sold on credit. The business issued a credit note. Which book should record this?
- a) Purchases Day Book
 - b) **Sales Return Day Book**
 - c) General Journal
 - d) Cash Book
13. Which of the following best describes the purpose of Books of Prime Entry?
- a) To summarize only credit transactions
 - b) To avoid the preparation of ledgers
 - c) **To provide the first stage of recording before posting to ledgers**
 - d) To prepare the trial balance directly
14. Petty Cash Book is maintained to:
- a) Record credit sales
 - b) Record only credit purchases
 - c) **Record small day-to-day cash payments**
 - d) Record non-cash adjustments

15. Which of the following combinations is correct?
- a) Sales Return Day Book – Debit note issued
 - b) Purchases Return Day Book – Credit note received**
 - c) General Journal – Cash receipt voucher
 - d) Purchases Day Book – Payment voucher
16. Which of the following is recorded in the Sales Return Day Book?
- a) Goods returned to supplier
 - b) Goods returned by customers**
 - c) Cash refund given to customer
 - d) Discount allowed to customer
17. Which prime entry book uses purchase invoices as its source document?
- a) Sales Day Book
 - b) Purchases Day Book**
 - c) Cash Book
 - d) General Journal
18. Which of the following is *not* a book of prime entry?
- a) Sales Day Book
 - b) Purchases Day Book
 - c) Trial Balance**
 - d) General Journal
19. The Cash Book serves the function of both:
- a) A book of prime entry and a ledger**
 - b) A control account and a ledger
 - c) A subsidiary ledger and a journal proper
 - d) A bank reconciliation and trial balance
20. The Sales Day Book excludes (Choose two options)
- a) Cash sales**
 - b) Credit sales
 - c) Credit notes issued**
 - d) Sales invoices
21. A company bought office furniture on credit for Rs. 100,000. This will be recorded in:
- a) Purchases Day Book
 - b) General Journal**
 - c) Cash Book
 - d) Sales Day Book
22. Goods worth Rs. 20,000 were returned to supplier. The source document will be:
- a) Debit note received
 - b) Credit note received**
 - c) Sales invoice
 - d) Bank statement

23. Goods worth Rs. 15,000 were returned by a customer. The entry will be recorded in:
- a) Purchases Return Day Book with debit note issued
 - b) Sales Return Day Book with credit note issued**
 - c) Cash Book with bank receipt
 - d) General Journal with journal voucher
24. A company paid Rs. 5,000 for stationery in cash. This transaction will be recorded in:
- a) Purchases Day Book
 - b) Sales Return Day Book
 - c) Cash Book**
 - d) General Journal
25. Which prime entry book will record a credit purchase of goods from a supplier?
- a) Purchases Day Book**
 - b) General Journal
 - c) Cash Book
 - d) Purchases Return Day Book
26. Why are books of prime entry maintained?
- a) To eliminate the need for ledgers
 - b) To ensure transactions are classified before posting**
 - c) To prepare the trial balance directly
 - d) To substitute financial statements
27. The source document for Purchases Return Day Book is generally:
- a) Sales invoice
 - b) Credit note received**
 - c) Debit note issued
 - d) Payment voucher
28. Which of the following is correct?
- a) Sales Day Book records cash and credit sales
 - b) General Journal records only credit purchases
 - c) Purchases Day Book records credit purchases of inventory**
 - d) Sales Return Day Book records cash refunds
29. A debit note is usually issued when:
- a) Business sells goods on credit
 - b) Business returns goods to supplier**
 - c) Customer returns goods
 - d) Cash discount is given
30. Which of the following transactions is *least likely* to appear in the General Journal?
- a) Correction of an error
 - b) Bad debts written off
 - c) Sale of goods on credit**
 - d) Closing entries

31. Books of prime entry are also called:
- a) **Books of original entry**
 - b) Subsidiary ledgers
 - c) Control accounts
 - d) Books of secondary entry
32. A business issued a credit note to a customer. This relates to:
- a) Purchases Return Day Book
 - b) **Sales Return Day Book**
 - c) Sales Day Book
 - d) General Journal
33. Which of the following is not a source document for the Cash Book?
- a) Receipt voucher
 - b) Bank statement
 - c) Payment voucher
 - d) **Sales invoice**
34. Which of the following would be entered in the General Journal?
- a) Goods purchased on credit
 - b) Goods sold on credit
 - c) **Bad debts written off**
 - d) Cash received from customers
35. The Petty Cash Book is part of:
- a) General Ledger
 - b) **Cash Book**
 - c) Sales Ledger
 - d) Purchases Ledger
36. A cheque received from a customer will be recorded in:
- a) Sales Day Book
 - b) Purchases Day Book
 - c) **Cash Book**
 - d) General Journal
37. The books of prime entry are prepared:
- a) **Before ledger accounts**
 - b) After ledger accounts
 - c) After trial balance
 - d) After financial statements
38. Which of the following is an example of a book of original entry?
- a) General ledger
 - b) **Cash Book**
 - c) Receivable ledger
 - d) Payable ledger

39. Which of the following will appear in the Purchases Day Book?
- a) Goods bought on credit**
 - b) Non-current assets purchased on credit
 - c) Goods bought in cash
 - d) Payment to supplier
40. If an error is discovered in recording transactions, it is corrected through:
- a) Purchases Day Book
 - b) Sales Day Book
 - c) General Journal**
 - d) Cash Book
41. A firm returned goods worth Rs. 25,000 to supplier "XYZ Ltd." and received a credit note. The correct prime entry book is:
- a) Purchases Day Book
 - b) Purchases Return Day Book**
 - c) Sales Return Day Book
 - d) General Journal
42. A business purchased machinery on credit for Rs. 200,000. This will be recorded in:
- a) Purchases Day Book
 - b) General Journal**
 - c) Cash Book
 - d) Purchases Return Day Book
43. Which of the following transactions will be recorded in the Sales Day Book?
- a) Sale of furniture for cash
 - b) Sale of goods to customer on credit**
 - c) Sale of motor vehicle on credit
 - d) Sale of old computer for cash
44. A debit note is prepared by:
- a) Supplier when goods are returned by customer
 - b) Customer when returning goods to supplier**
 - c) Accountant for rectifying error
 - d) Auditor for rechecking records
45. Which of the following will appear in the General Journal?
- a) Capital introduced by proprietor in cash
 - b) Year - end adjustments**
 - c) Sale of goods on credit
 - d) Payment of rent
46. Which of the following is recorded in Purchases Return Day Book?
- a) Goods returned by credit customer
 - b) Goods returned to credit supplier**

- c) Goods returned for cash
 - d) Goods purchased for cash
47. Which of the following books records both cash receipts and cash payments?
- a) Sales Day Book
 - b) Purchases Day Book
 - c) Cash Book**
 - d) General Journal
48. If a business purchases goods on credit and later returns them, the two prime entry books used will be:
- a) Purchases Day Book and Sales Return Day Book
 - b) Purchases Day Book and Purchases Return Day Book**
 - c) Sales Day Book and Purchases Return Day Book
 - d) Cash Book and General Journal
49. Books of prime entry are most useful because:
- a) They prevent errors from occurring
 - b) They speed up the recording process and classification**
 - c) They eliminate the need for ledgers
 - d) They substitute source documents
50. A source document that may lead to entry in the General Journal is:
- a) Bank statement
 - b) Invoice for purchase of non-current asset on credit**
 - c) Credit note issued to customer
 - d) Receipt voucher
- 51. Khan Traders (KT) offers 2% trade discount on sale of goods amounting to Rs. 20,000 or more.**
- On 30 September 2023, KT sold goods having list price of Rs. 18,000 and Rs. 25,000 to Mr. Zeeshan and Mr. Abid respectively. KT also offered settlement discount with terms 2/10, n/30.
- At the time of sales it was expected that Mr. Zeeshan shall avail the discount.
- At what amount sales should be recorded?**
- a) 43,000
 - b) 42,500
 - c) 42,140**
 - d) 41,780
- 52. On 4 August 2022 goods were sold on credit for Rs. 125,000 with credit term of 3/10, n/20. On 8 August 2022 goods of Rs. 25,000 were returned by the buyer. How much should the seller expect to receive if the buyer pays on 12 August 2022?**
- a) Rs. 100,000
 - b) Rs. 121,250

c) Rs. 125,000

d) Rs. 97,000
